

Accounting and Accountability

Week 7



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Key concepts

Who are the internal users of accounting information?

- Financial accounting is about providing accounting information for external users, these are the shareholders, investors, customers, suppliers and so on. Financial accounting is summarising all the business transactions using the accounting equation and creating financial statements. Public companies share these statements on their websites and anyone can look them up.
- Management accounting is about providing accounting information to be used within the business. Management accounting is not shared outside the business as it usually includes the confidential and top secret plans and decisions made inside the business. Businesses don't want to share this information with customers or competitors. So I can't go to a business website to find this information.

Key concepts

Who are the internal users of accounting information?

- Financial accounting is highly regulated. When constructing financial statements, there is a set structure and strict rules about what can and can't be included. Financial reports are made by businesses in set time periods, every six months and year. This is required for all large companies.
- Management accounting is about helping managers to make decisions. When creating management accounting reports, there is no regulation and no set structure. Each report can be constructed with useful information relevant to the decision. Real-time information is the best information for decision-making. Decisions need to be made all the time. Some are short-term decisions, made quickly. Others are long-term decisions that may take months or years to make. Information to help make these decisions is required all the time.

Who are the internal users of accounting information?

Internal user	How they may use accounting information
Sales staff	Examine sales trends to determine what sort of sales strategies may be used in the business to provide growth. Determine which sales people are performing strongly so that they can be rewarded.
Marketing staff	Combine accounting information along with marketing metrics (such as the performance of various advertising streams like social media, print, radio) to make decisions about future marketing campaigns. Work with the sales staff, combining information about sales, marketing and profits made on each item to decide on future sales strategies and negotiate discounts.
Production / manufacturing staff	Use information related to the costs of inputs for production (raw materials) and labour to evaluate the cost of producing the goods a business sells. Evaluating these costs may help the business achieve economies of scale, potentially reducing costs and increasing profits.
Logistics / shipping staff	Examine the sales trends over time to predict the need for logistical support. For example, there may be increased need around Christmas or sale periods for additional logistics and shipping staff. The logistics team may also notice increased number of returned packages from customers – highlighting a potential product quality issue.
Research and development staff	The business must plan and decide what sort of research and development activities they engage in to continue business growth. This will require the preparation of budgets and an evaluation of the potential R&D activities and their potential benefits.
Internal audit staff	The internal auditors will use accounting information as well as information from other systems to determine whether there is any fraud or a failure to follow business processes.

Key concepts

What is the role of a manager?

The study of management accounting is about the study of information and techniques required to make daily business decisions to help an organisation achieve its objectives.

However, first, it is important to understand the various roles managers play in a business in order to understand the types of information and the level of detail that are needed.

Most of the job responsibilities of a manager fit into one of three categories: **planning**, **controlling**, or **evaluating**.



Key concepts

Planning

- Managers create a mission for the business. This mission drives the strategic plan which then drives the objectives and goals. The management accountant will help to formulate the steps or actions that need to be taken to achieve this plan.
- One tool that is used for planning is budgeting. A budget includes things like the expected level of sales, how many resources are needed and how many hours of labour are required to achieve the goals and objectives.

Sample Mission Statements	
Company	Mission Statement
Dow Chemical	"To passionately create innovation for our stakeholders at the intersection of chemistry, biology, and physics." ¹
Starbucks	"To inspire and nurture the human spirit—one person, one cup, and one neighborhood at a time." ²
Google	"Our mission is to organize the world's information and make it universally accessible and useful." ³

Key concepts

Controlling

- To measure whether plans are meeting objectives or goals, management must put in place ways to assess success or lack of success. Controlling involves the monitoring of the planning objectives that were put into place.
- Controlling relates to what we have already learnt about internal control. Remember the system of internal control? Controlling includes the policies and procedures put in place to ensure the business operates efficiently and effectively and achieves its objectives.

Key concepts

Evaluating

- Evaluating, also called assessing or analysing, involves comparing actual results against expected results, and it can occur at the product, department, division, and company levels. When there are deviations from the stated objectives, managers must decide what modifications are needed.
- The controls that were put into place to coordinate the implementation of a particular company plan must be evaluated so that success can be measured, or corrective action can be taken.

Key concepts

Relating Managerial Accounting Functions to Various Business Majors

	Sales	Human Resources	Logistics
Planning	What are our expected sales for each product in each geographic region? How much should be budgeted for salaries and commissions for our salespeople?	How much should we budget for salary and wage increases for the year? How much should we plan to spend on safety and training for the year?	Should we invest in radio-frequency identification (RFID) processors to enable computer tracking of inventory? How much raw material should be ordered and delivered to ensure timely delivery of our finished products to our customers?
Controlling	Are we meeting expected sales growth in each region? Are each of the salespeople meeting their sales projections?	Is our projected budget for wages and salaries sufficient? Are we meeting our safety and training goals?	Are our products being delivered to our customers in a timely manner, and at what cost? Are we dealing with stock-outs in inventory? If so, what is that costing us?
Evaluating	How do our actual sales compare to our forecasted or budgeted sales? What sales promotions are our competitors offering, and what effect is it having on our market share?	Would it be cheaper to hire temporary employees to get through our “busy” season or to pay our current employees for overtime?	What are the cost differences in starting our own delivery service versus continuing to use other carriers? Should we outsource the manufacturing of a component part or continue to make it ourselves? What are the price differences?

Key concepts

Accountability to the management function

- Management of any business or organisation must be held accountable for the decisions they make in relation to their functions – their decisions related to planning, controlling and evaluating affect the value of shareholders equity.
- Management are accountable to shareholders/owners through the process of corporate governance. A definition of corporate governance:

the framework of rules, relationships, systems and processes within and by which authority is exercised and controlled within corporations. It encompasses the mechanisms by which companies, and those in control, are held to account

- Owners and shareholders must hold management accountable. Management accounting information plays a critical role – allowing owners (and in larger companies, their representatives – the board of directors) to evaluate the outcomes of management's decisions.

Key concepts

How do we keep management accountable?

1. Managers must report to the board of directors regularly. The board of directors evaluate managers and hold them responsible (accountable) for their actions. The board of directors will use management accounting information to help evaluate the performance of managers. If they perform well they may get a bonus, if they perform poorly they may lose their job.
2. Managers have key performance indicators (KPIs) and their performance is linked to achieving these KPIs. The purpose of the KPIs is to align the interests of the managers to the shareholders interests. In other words, if the manager helps the company to make a huge profit (this is good for shareholders) then the manager will get a huge bonus (good for manager).
3. Managers are accountable to shareholders and provide audited financial statements.

Key concepts

Characteristics of information for decision making

Information for internal decision making should meet a number of characteristics.

- **Accurate** information is that recorded correctly from the original transaction.
- **Complete** information is one where all transactions have been recorded, with no transactions are missing or purposely omitted.
- **Reliable** information is that which is both accurate and complete, consistently, so that it can be relied upon for decision making.
- **Relevant** information is that which is useful in the decision making process (and is highly dependent on the decision being made of course!)
- **Timely** information is that which is produced so that it is available when decisions need to be made.

Key concepts

Sustainability

- Sustainability is described by the United Nations as "**meeting the needs of the present without compromising the ability of future generations to meet their own needs.**"
- Sustainability is split into three areas:
- **Environmental sustainability**: ensuring natural resources are used responsibly and ecosystems are protected to support life now and in the future.
- **Economic sustainability**: promoting economic growth and development that does not compromise environmental or social well-being.
- **Social sustainability**: fostering equitable societies that meet the needs of all people, including access to education, healthcare, and justice.

Key concepts

Sustainability as part of accountability and organisational reporting

- Sustainability reporting is a relatively new concept when compared with traditional accounting methods evidenced in Mesopotamia, 6000 years ago.
- Numerous sustainability reporting terms have developed over time such as; corporate social responsibility (CSR) reporting, triple bottom line (TBL) reporting, corporate sustainability and social responsibility (CSSR) reporting, environment, social and governance (ESG) and corporate citizenship reporting. The evolution of these terms has led to them being used interchangeably, however each of these names provide differing context.

Key concepts

Understand cost classifications

Direct costs

- Costs that can be easily and conveniently traced to a unit of product or other cost object.
- Examples: direct material and direct labor

Indirect costs

- Costs that cannot be easily and conveniently traced to a unit of product or other cost object.
- Example: manufacturing overhead

Common costs

- Indirect costs incurred to support a number of cost objects. These costs cannot be traced to any individual cost object.

Key concepts

Classifications of Manufacturing Costs



Direct
Materials

Direct
Labor

Manufacturing
Overhead

Key concepts

Direct Materials

Direct materials are raw materials that become an integral part of the product and that can be conveniently traced directly to it.

Example: A radio installed in an automobile

Key concepts

Direct Labor

Direct labor costs are those labor costs that can be easily traced to individual units of product.

Example: Wages paid to automobile assembly workers

Key concepts

Manufacturing Overhead

Manufacturing overhead includes all manufacturing costs except direct material and direct labor. These costs cannot be readily traced to finished products.

Includes **indirect materials** that cannot be easily or conveniently traced to specific units of product.

Includes **indirect labor** costs that cannot be easily or conveniently traced to specific units of product.

Key concepts

Manufacturing Overhead – Examples

Examples of manufacturing overhead:

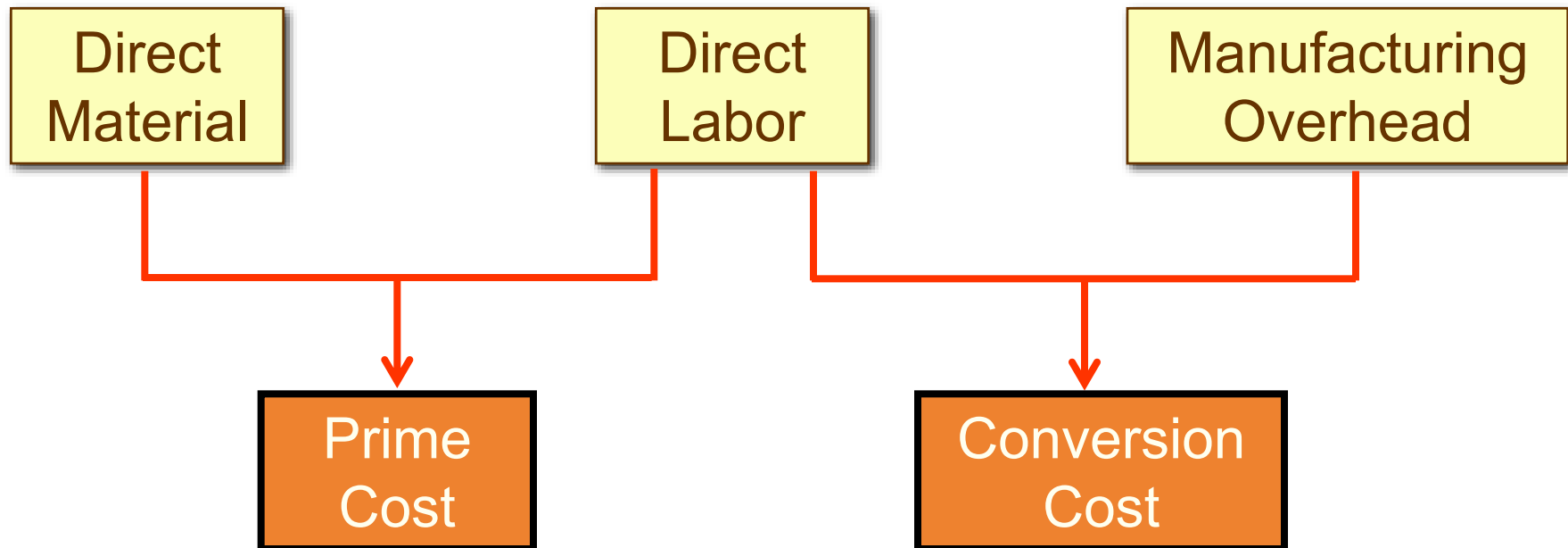
- **Depreciation of manufacturing equipment**
- **Utility costs**
- **Property taxes**
- **Insurance premiums incurred to operate a manufacturing facility**

Only those indirect costs associated with operating the factory are included in manufacturing overhead.

Key concepts

Prime Costs and Conversion Costs

Manufacturing costs are often classified as follows:



Key concepts

Nonmanufacturing Costs



Costs necessary to secure the order and deliver the product. Selling costs can be either direct or indirect costs.



All executive, organizational, and clerical costs. Administrative costs can be either direct or indirect costs.

Key concepts

Product Costs

Product costs includes all the costs that are involved in acquiring or making a product.

Product costs “attach” to a unit of product as it is purchased or manufactured and they stay attached to each unit of product as long as it remains in inventory awaiting sale.

Key concepts

Manufacturing Product Costs

For manufacturing companies, product costs include:

- **Raw materials:** includes any materials that go into the final product.
- **Work in process:** consists of units of product that are only partially complete and will require further work before they are ready for sale to the customer.
- **Finished goods costs:** consists of completed units of product that have not yet been sold to customers.

Key concepts

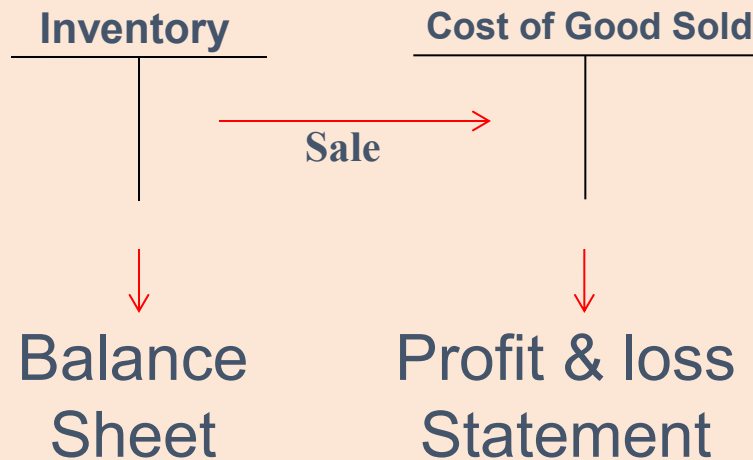
Transfer of Product Costs

- When direct materials are used in production, their costs are transferred from Raw Materials to Work in Process.
- Direct labor and manufacturing overhead costs are added to Work in Process to convert direct materials into finished goods.
- Once units of product are completed, their costs are transferred from Work in Process to Finished Goods.
- When a manufacturer sells its finished goods to customers, the costs are transferred from Finished Goods to Cost of Goods Sold.

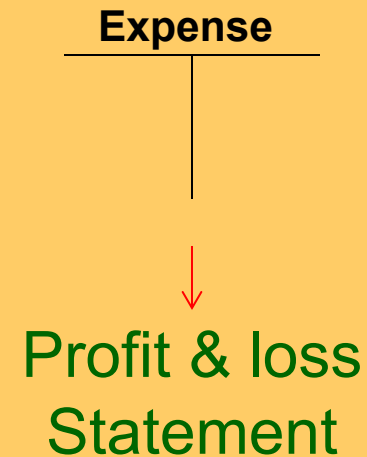
Key concepts

Cost Classifications for Preparing Financial Statements

Product costs include direct materials, direct labor, and manufacturing overhead.



Period costs include all selling costs and administrative costs.



Quick Check

Which of the following costs would be considered a period rather than a product cost in a manufacturing company?

- A. Manufacturing equipment depreciation.
- B. Property taxes on corporate headquarters.
- C. Direct materials costs.
- D. Electrical costs to light the production facility.
- E. Sales commissions.

Quick Check

Which of the following costs would be considered a period rather than a product cost in a manufacturing company?

- A. Manufacturing equipment depreciation.
- ☒ B. Property taxes on corporate headquarters.
- C. Direct materials costs.
- D. Electrical costs to light the production facility.
- ☒ E. Sales commissions.

Tutorial activities--Tutorial 7A Financial accounting review and recap

A business has the following information:

Design Love ♥ Closing balances at 31 July

Cash	16,300
Accounts Receivable	52,000
Prepaid expenses	12,000
Inventory	13,250
Equipment	121,000
Accounts payable	10,000
Unearned revenue	-
Wages payable	2,000
Bank loan	49,417
Share capital	50,000
Retained earnings	103,133

Transactions during August

1. Makes a sale to customers on credit, \$15,000. The goods sold cost \$4,400 to purchase.
2. Paid wages owing along with August wages of \$1,000.
3. Purchase of office supplies, paying cash \$300.
4. Purchase of office furniture on credit, 12,000
5. Collected cash from a customer in advance for work to be done in September, \$9,000.
6. Sales to customers for cash of \$20,000. The goods cost \$5,500.
7. Collected cash from customer sales in July.
8. The business insurance was paid last month for one year. One month of the business insurance is used.
9. The business pays the amount owing from July purchases.
10. The business owes employees' wages of \$3,000 at the end of the month.
11. Paid dividend of \$2,000.
12. Bank loan repayment of \$1,500. The interest cost included was \$600

Tutorial activities--Tutorial 7A Financial accounting review and recap

Prepare the Design Love ♥ Trial balance, Profit and loss statement, statement of changes in equity, balance sheet for the month ended 31 August, and conduct a ratio analysis.

Ratio analysis	
1. Current ratio	
2. Quick ratio	
3. Debt to equity ratio	
4. Profit margin ratio	
5. Times interest earned ratio	
6. Accounts receivable turnover	
7. Inventory turnover	
8. Vertical analysis of cash	
9. Vertical analysis of cost of sales	
10. Vertical analysis of gross profit	

Tutorial activities--Tutorial 7A Identifying Direct and Indirect Costs

Northwest Hospital is a full-service hospital that provides everything from major surgery and emergency room care to outpatient clinics.

Required:

For each cost incurred at Northwest Hospital, indicate whether it would most likely be a direct cost or an indirect cost of the specified cost object by placing an X in the appropriate column.

Cost	Cost Object	Direct Cost	Indirect Cost
Ex. Catered food served to patients	A particular patient	X	
1. The wages of pediatric nurses	The pediatric department		
2. Prescription drugs	A particular patient		
3. Heating the hospital	The pediatric department		
4. The salary of the head of pediatrics	The pediatric department		
5. The salary of the head of pediatrics	A particular pediatric patient		
6. Hospital chaplain's salary	A particular patient		
7. Lab tests by outside contractor	A particular patient		
8. Lab tests by outside contractor	A particular department		

Tutorial activities--Tutorial 7A Identifying Direct and Indirect Costs

Required:

For each cost incurred at Northwest Hospital, indicate whether it would most likely be a direct cost or an indirect cost of the specified cost object by placing an X in the appropriate column.

		<i>Direct</i>	<i>Indirect</i>
<i>Cost</i>	<i>Cost Object</i>	<i>Cost</i>	<i>Cost</i>
1. The wages of pediatric nurses	The pediatric department	X	
2. Prescription drugs	A particular patient	X	
3. Heating the hospital	The pediatric department		X
4. The salary of the head of pediatrics	The pediatric department	X	
5. The salary of the head of pediatrics	A particular pediatric patient		X
6. Hospital chaplain's salary	A particular patient		X
7. Lab tests by outside contractor	A particular patient	X	
8. Lab tests by outside contractor	A particular department	X	

Tutorial activities--Tutorial 7B: Exploring sustainability reporting

1. Select a business you are interested in or buy products/services from.
2. Search for information about this business and its sustainability reporting, answer the following questions:
 - ☐ Find the business sustainability report.
 - ☐ What is in the report? Focus on environmental and social impacts. Summarise a few key points.
 - ☐ What are the biggest environmental and social issues for the industry your business is in?
 - ☐ Why is it important for your business to prepare a sustainability report?
 - ☐ Does the sustainability of the business impact you buying the product as a customer?

Tutorial problems week 7

Follow the guide of questions in the previous slide and present your findings on sustainability reporting.

- You will work in groups (4-5 in one group) on tutorial problems.
- You will prepare a PPT and present the solution with the class in tutorial week.
- All group members need to participate and explain the solution and also answer any further questions from the class.
- Time limit: 15-20 minutes.